EnCap Investments L.P.

Sustainability Report 2021

Confidential
Sam Sam
Jun 26, 2024 12:19 PM EDT

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To Our Stakeholders

Since our founding, we have been guided by a fiduciary duty to our investors, which includes public and private pension plans, university endowments, insurance companies, health care systems, and others who have entrusted us with their capital. We are honored to have your support and look forward to our continued partnership and success.

We believe that ESG is about doing the right thing, and many of the principles of ESG have been rooted in the way we have operated our business for over thirty years. Our portfolio companies fulfill a critical need as energy developers, de-risking earlier stage assets that are ultimately purchased by a longer-term buyer. As such, we recognize the meaningful role our businesses can have in providing responsible, affordable, and reliable energy that supports economic growth and global opportunity.

Looking ahead, we are incredibly excited about the landscape for energy investment and will continue to identify segments of the market that offer the most attractive opportunities, while employing the risk management tools that have historically guided us. We believe that oil, natural gas, and renewables will play essential roles in the global energy mix for decades as the world works to reduce overall emissions. Today's energy crisis highlights the reality that decarbonization is a transition and we cannot compromise energy security in the meantime.

As leaders within the energy industry, we understand the responsibility and impact we have on our environment, our people, and our communities. We believe ESG considerations allow us to mitigate risk and build better businesses, which creates value for our investors. For that reason, we are committed to staying informed of ESG standards as they evolve and delivering best-in-class financial and ESG performance.

Last year, we promoted Sophia Friese to Head of ESG to lead our efforts and execute on our strategy. We also closed on our first Energy Transition fund during 2021, which currently has six portfolio companies that are actively investing in decarbonization.

We are proud to present this year's sustainability report which covers the continued progress we and our portfolio companies have made.

Jason DeLorenzo

Jason DeLorenzo
Managing Partner

Doug Swanson
Managing Partner

About EnCap

Founded in 1988, EnCap is based in Houston, Texas, and is a leading provider of growth capital to independent energy companies. Our strategy is to partner with management teams who have an established track record and a compelling business plan and provide them with strategic support and risk management oversight. We apply a disciplined philosophy that balances capital preservation and value creation and have generated strong returns for our investors across multiple industry cycles. This sustainability report primarily includes data on our upstream companies with operating assets and our energy transition companies, unless otherwise stated. Additional information on our midstream platform is covered in a separate sustainability report.

Team of **84** talented employees	Raised **22** institutional funds, totaling more than $39 billion	Manage capital on behalf of more than **350** U.S. and international investors
Backed more than **275** teams	Realized more than **220** investments	Manage **$25.8** billion in assets

Investment Platforms

Upstream

- Established in 1988
- 21 investment professionals
- 17 Funds

Midstream

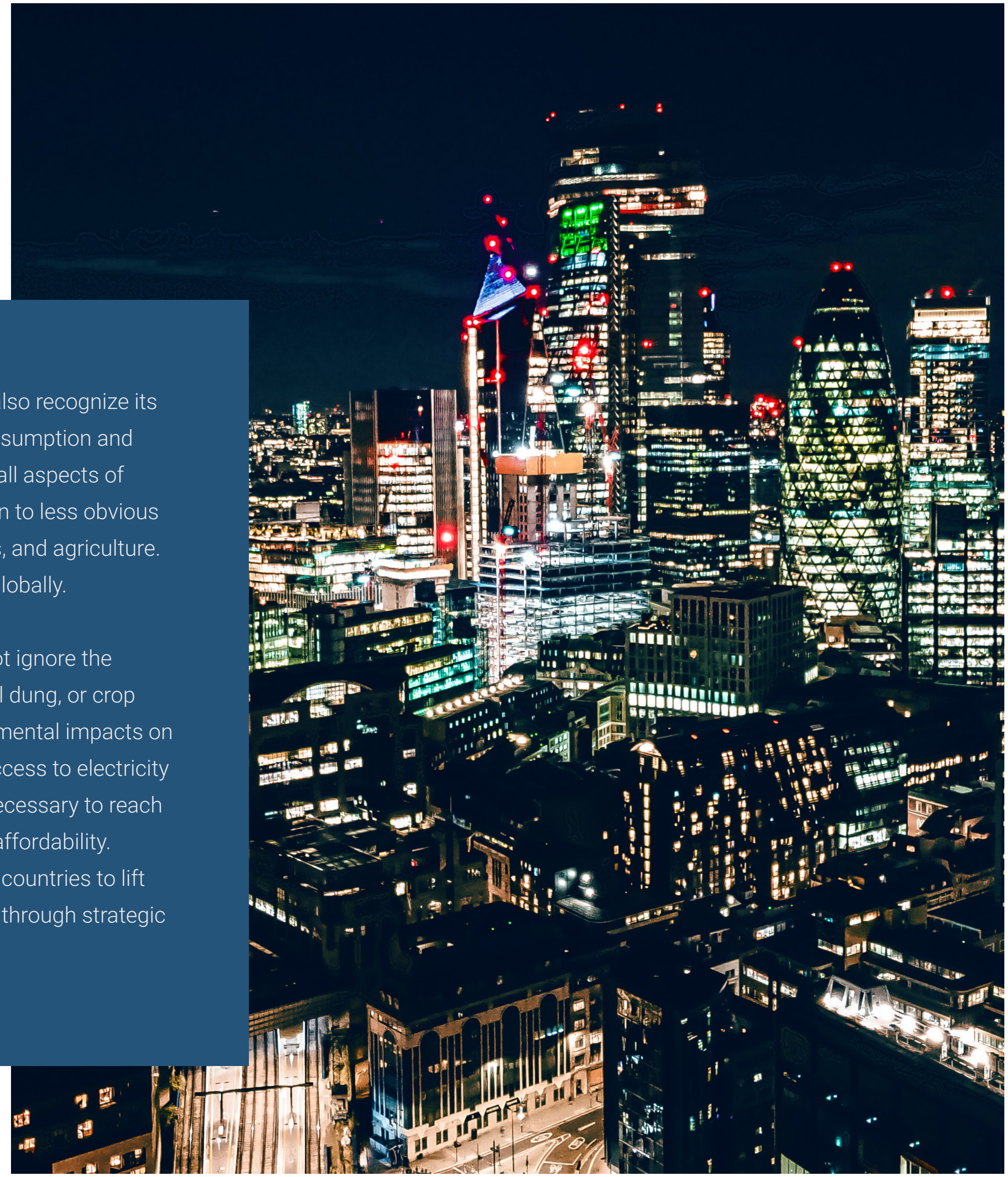
- Established in 2008
- 16 investment professionals
- 4 Funds

Energy Transition

- Established in 2019
- 8 investment professionals
- 1 Fund

Data as of 12/31/2021. Statistics on this page are inclusive of EnCap's Upstream, Midstream, and Energy Transition platforms.

Energy Empowers Global Growth and Opportunity



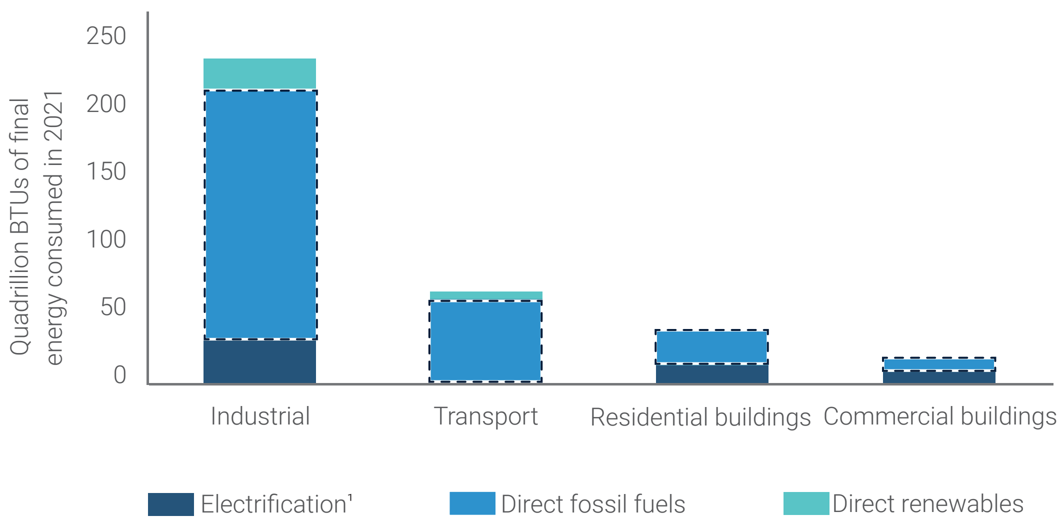
When discussing the energy sector's environmental impact, we must also recognize its benefits and the critical role it plays in advancing societies. Energy consumption and economic progress are completely intertwined. Our sector is linked to all aspects of modern life, underpinning our use of electricity, heat, and transportation to less obvious uses such as infrastructure, healthcare, education, consumer products, and agriculture. The industry creates countless employment opportunities for people globally.

Despite tremendous human progress in the last half century, we cannot ignore the remaining billions of people who use open fires fueled by wood, animal dung, or crop waste for cooking and heating, which has negative health and environmental impacts on those communities. Hundreds of millions of people still do not have access to electricity today. We believe a pragmatic approach to planning supply needs is necessary to reach the world's sustainability goals while maintaining energy security and affordability. Without access to low-cost energy, it will be impossible for developing countries to lift people out of poverty. We remain committed to enabling this progress through strategic investment in energy, which empowers growth and opportunity.

The Reality of Our Dependence on Conventional Energy

There has been significant progress to decarbonize the world, and the momentum is getting stronger, driven by calls to action from consumers, corporations, and governments. Over the last decade, unsubsidized renewable power has become increasingly cost competitive with conventional generation. Our Energy Transition strategy directly addresses this market opportunity by investing in low carbon power infrastructure and fuels in addition to carbon management in areas with unavoidable emissions. Even with the large growth in renewables, the reality is society largely depends on traditional fuels today and will continue to do so for the forseeable future. We believe it is important to account for actual demand across different fuel types as the world strives to sustainably meet growing energy needs.

Our economy is heavily dependent on fossil fuels



[1] Electrification relies on local power grids, which largely remain dependent on fossil fuels.

Decarbonizing Our Global Economy Will Not Happen Overnight

Industrial

The Industrial Sector Will Be The Most Challenging to Electrify

The industrial sector produces materials we use every day, notably steel, cement, fertilizer, aluminum, and plastic, and is the largest consumer of fossil fuels. It is incredibly challenging to decarbonize this segment due to the fundamental nature of industrial chemistry, physics, and engineering. Manufacturing processes use fossil fuels both for energy and as feedstocks, which makes electrification difficult, and in certain cases, impossible. Until there are economically viable solutions, reducing the associated demand for conventional energy will be slow.

Moreover, the center of the world's industrial production is in China, which relies on coal to fulfill ~60% of its energy needs. This highlights the difference in environmental standards and the joint effort that will be required across nations in order to achieve international climate goals.

Transportation

Electric Vehicles Are a Fraction of the Transportation Sector's Energy Consumption

Policymakers, consumers, and automakers are increasingly supportive of electric vehicles (EVs), which has fueled the rapid growth in sales. However, supply constraints of battery metals and potential environmental and human rights concerns pose a threat to adoption and cost competitiveness. There is tremendous opportunity for the EV market, but it will take time to transition the 1.2 billion vehicle global fleet when the average vehicle lifespan is twelve years.

Moreover, the local grid powering EVs must also decarbonize, while providing increasing supply to handle the incremental electricity demand from vehicle charging. It is important to note that the transportation sector also includes commercial trucks, aviation, and shipping (marine and rail). Entrepreneurs are actively developing electrified prototypes, but there are limited options at scale.

Residential & Commercial

Decarbonization of the Power Grid is Underway in Developed Nations

In the residential and commercial sectors, grid decarbonization is well underway in developed markets. More investment and less regulatory barriers in transmission and distribution lines are needed to accomodate increasing electricity demand and provide access to the renewable energy being built.

Furthermore, the heating of our homes is still dominated by on-site combustion of natural gas or other fuels and the cost-benefit associated with electrifying these systems is unclear. Considering that the housing stock has a typical lifespan of 40-50 years, there will be continued reliance on traditional energy sources for some time.

Source: JP Morgan Research.

Continued Investment Across Energy Sources is Needed

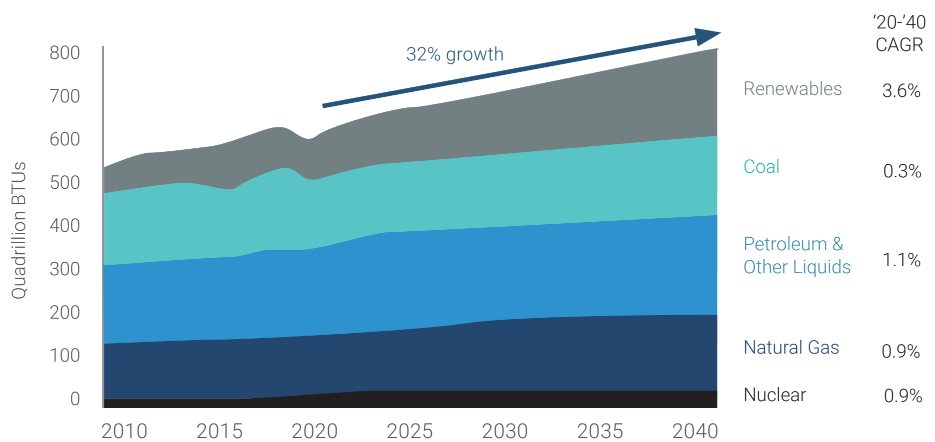
Withdrawing from traditional energy undermines energy security and affordability

Capital spending by fossil fuel companies has dropped dramatically over the last few years, decreasing from ~$400 billion in 2015 to ~$125 billion in 2021. During this time period, energy demand has remained relatively stable, near all-time highs. An underinvestment in supply has resulted in spikes in commodity prices, which has significant ramifications including inflation, political instability, and increasing risk for recession. Within Europe, oil and gas production has steadily declined over the last twenty years, and the region has become the largest net importer of energy and is currently facing energy insecurity. We believe that cutting off energy resources faster than demand can adapt will not facilitate the achievement of ambitious decarbonization goals. Instead, doing so results in a regression to fuel resources that are less efficient and more environmentally intensive, such as coal.

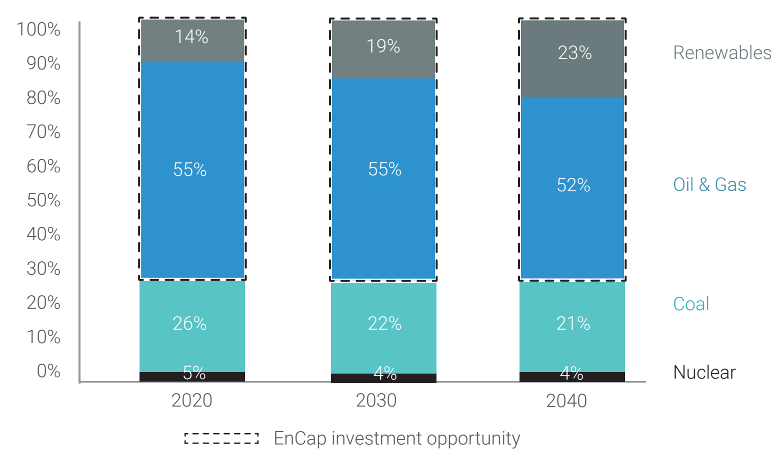
Overall energy demand is growing and renewables are positioned for rapid growth

According to the EIA, global energy demand is projected to grow by 32% over the next 20 years (1.3% per annum), driven by population and economic growth. Oil and gas consumption is expected to remain stable, and renewables are poised for rapid growth. While it is impossible to accurately predict future energy demand, it is clear that our ecosystem relies on traditional forms of energy. Renewables alone cannot meet the entirety of the world's energy needs due to cost and technology constraints. We believe that oil and gas will have a critical role to play in the overall energy mix for decades due to its reliability, energy density, efficiency, and established infrastructure systems. There is significant opportunity to reduce overall emissions by replacing coal with natural gas.

Global energy consumption



Projected shares of global primary energy



Sources: U.S. Energy Information Administration - International Energy Outlook 2021; J.P. Morgan research.

U.S. Producers Can Fulfill Demand Needs Responsibly

Not all energy is created equally. Developing conventional energy projects is resource intensive, impacting land, air, water, and communities, in order to extract subsurface reserves. Among the ten largest producing countries, the United States and Canada are the clear leaders in environmental protection, minimized corruption, and human rights. As our world still runs on traditional fuel sources, shutting down supply in places which are leaders in certain ESG metrics will likely shift production to areas with dramatically worse performance and transparency.

Investment in countries with better ESG performance records is important to maintain access to energy and address emissions reductions. Starting in 2008, EnCap was an early investor in resource plays and horizontal drilling, which has unlocked vast natural resources across the United States. The upstream industry has helped facilitate significant progress in driving down CO2 emissions, most notably with natural gas serving as a cleaner replacement for coal. American oil and gas producers will continue to have an important role in the energy mix as we believe there is market demand for low cost, efficient volumes that are delivered adhering to stringent environmental stewards.

At EnCap, we are committed to the dual challenge of meeting a growing demand for energy while protecting our environment. We have proactively planned our business for the future by being a leader on ESG for our traditional energy investments and establishing an Energy Transition platform.

ESG Performance of Top 10 Oil Producing Nations

Country	Oil Production (MMb/d)	Environmental Performance Quartile	Human Freedom Index Quartile
USA	18.9	1st Quartile	1st Quartile
Saudi Arabia	10.8	3rd Quartile	4th Quartile
Russia	10.8	3rd Quartile	4th Quartile
Canada	5.5	2nd Quartile	1st Quartile
China	5.0	4th Quartile	4th Quartile
Iraq	4.2	4th Quartile	4th Quartile
UAE	3.8	1st Quartile	4th Quartile
Brazil	3.7	2nd Quartile	2nd Quartile
Iran	3.5	4th Quartile	4th Quartile
Kuwait	2.7	2nd Quartile	3rd Quartile
Other	26.7		

EnCap investment opportunity | 1st Quartile | 2nd Quartile | 3rd Quartile | 4th Quartile

Sources: International Energy Statistics, total oil (petroleum and other liquids) production 2021; CATO Institute Human Freedom Index 2021; 2022 Yale Environmental Performance Index.

Corporate Governance

Strong governance is at the core of our culture and the foundation of our decision making. We recognize the responsibility we have to our investors and other stakeholders and are committed to high standards of ethical conduct and corporate governance oversight. Our longstanding and proven investment model is rooted in risk management and value creation. In nearly all of our investments, we maintain board control, which allows for significant influence on decision making.

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Responsible Investing

Oversight

Since our founding, we have worked to maintain a reputation and culture that promotes strong ethics, honesty, and integrity. In 2009, we began formalizing these efforts by establishing related policies and procedures that have become our Compliance Manual, ESG Policy, and Code of Conduct detailing our principles and expectations. All of our employees are expected to adhere to these policies, and our Compliance Officer works to ensure compliance with company guidelines. Regarding ESG, we believe it is a responsibility across our entire organization. Our Partners have ultimate oversight and set the tone for the way our people conduct business daily. In 2021, we dedicated additional resources to ESG by establishing a dedicated in-house role in addition to partnering with an energy-focused ESG consultant. Our Head of ESG reports directly to the Managing Partners and leads our strategy across all functional departments, portfolio companies, and stakeholders, coordinating closely with our Chief Financial Officer and Chief Compliance Officer.

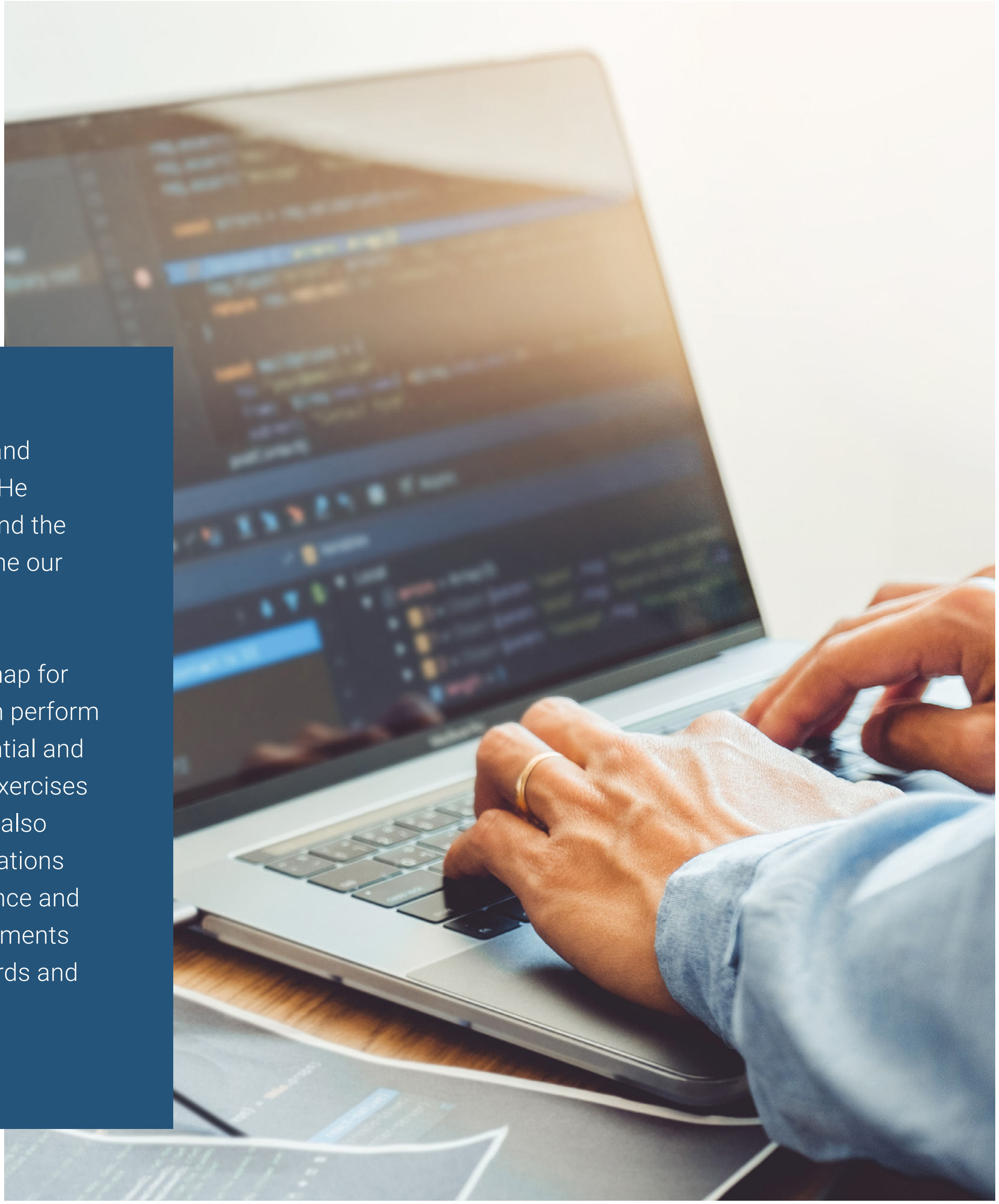
Risk Management

We aim to balance capital preservation and value creation with a proactive management approach. Board control in virtually all of our companies allows for significant influence on key matters, including capital spending, strategy, and ESG factors.[1] In order to monitor the ESG performance of our companies, we require them to report on matters at quarterly board meetings in addition to completing an annual comprehensive questionnaire. This question list was developed in consideration of leading practices and sustainability frameworks. Our goal in collecting ESG metrics is to establish a baseline from which we can assess progress and improve. We spend significant time reviewing company responses to identify portfolio trends and gaps to inform potential improvement opportunities. While the quality of our data continues to develop, we believe a standardized questionnaire enhances awareness of our companies' impact and allows for measurable performance.

[1]For further discussion, please reference page 13, our Approach to ESG.

Cybersecurity

We have devoted significant resources to our cybersecurity efforts and are actively assessing and improving our program



Our Chief Information Officer (CIO) is responsible for developing and managing EnCap's information security and resiliency programs. He works with the Chief Financial Officer, Chief Compliance Officer, and the Partners to review cybersecurity policies and procedures and refine our comprehensive incident response plan.

Each year, our CIO conducts a gap analysis and prepares a roadmap for continuous improvement to our IT infrastructure. He and his team perform regular risk reviews and vendor assessments to prepare for potential and increasing cybersecurity threats. This includes various phishing exercises to evaluate and enhance our staff's cybersecurity awareness. We also partner with a cybersecurity firm that provides 24/7 security operations center services and monitors all IT assets using artificial intelligence and behavior patterns. Lastly, we conduct yearly cybersecurity assessments on portfolio companies based on the National Institute of Standards and Technology cybersecurity framework.

Our Approach to ESG

EnCap has had a long history of responsible investing practices that are reflected in the way we have conducted our business for over thirty years. Many of the principles within ESG have been a focus for our companies well before the acronym became mainstream. We continue to support the integration of ESG factors in our investments as we believe it contributes to building better, more resilient organizations. Recognizing there are many ESG issues pertaining to the energy sector, our strategy is to prioritize the matters that maximize value for our investors, are consistent with our ideals, and are actionable by portfolio companies.

Environmental

- Promote the importance to our operators of being responsible stewards of air, land, and water
- Encourage our Upstream companies to monitor and reduce emissions
- Invest in a cleaner energy future via our Energy Transition companies
- Prioritize the use of innovative technologies and practices to improve our environmental performance where feasible

Social

- Take pride in attracting talented employees and provide them an environment to grow and succeed
- Foster an inclusive and respectful work environment
- Strive for best practices regarding health and safety in our company operations
- Partner with communities by providing jobs and engaging with local stakeholders
- Support philanthropic organizations we are passionate about

Governance

- Committed to conducting our business with integrity, honesty, and transparency
- Risk management is core to our investing process – EnCap controls the board of virtually all of our companies
- Review ESG matters at quarterly board meetings
- Collect standardized ESG metrics from our portfolio companies to direct areas of focus and assess improvement

"ESG is a key performance indicator for all of ETF's management teams. We work together to set financial, operational, and ESG targets annually. At the end of each year, we take a holistic approach in determining compensation and hold our teams accountable for meeting their goals."

– Kellie Metcalf

ETF Managing Partner

Environmental Stewardship

We are committed to the goal of producing responsible and efficient energy. At a minimum, our portfolio companies must comply with rigorous local, state, and federal regulations governing their operations. In many instances, they exceed these requirements with leading industry practices, striving to uphold high levels of environmental standards where commercially reasonable. In addition, our Energy Transition strategy plays a significant role in helping to reduce overall emissions. In order to assess our investments' environmental footprint, we collect information on greenhouse gas emissions, water consumption, and biodiversity considerations; for upstream operators, we also collect relevant data on flaring and spills.

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Actively Investing in Decarbonization

As a long-time energy investor, EnCap is constantly evaluating the energy landscape to identify opportunities to generate attractive returns. When we determined the economics were beginning to support investments within the energy transition sector, we established our ETF platform, which complements our existing strategies and positions EnCap as a fulsome energy investor.

ETF inherently backs companies whose efforts aid in reducing overall greenhouse gas emissions. It is led by a team of executives who have each worked for decades within the power and renewables industries. The team's collective experience and extensive network of contacts provides it with the ability to identify and attract industry talent as well as investment opportunities.

We believe the energy transition will be a capital intensive endeavor, with $4 to $5 trillion in addressable investment themes by 2030. Growing demand and increasing regulatory pressure to decarbonize have created a robust opportunity set for the Fund. There is a lot of work to be done, and we are proud of our people who have begun making significant progress.

ETF Fund I	Total Equity Deployed	Portfolio Companies
$1.2 BILLION	$808 MILLION	6

Data as of 6/30/2022.

Zero Emission Power Generation

Renewable power generation has strong tailwinds, supported by industry, social trends, and government policy. Companies and regulators continue to set aggressive emissions reduction targets globally. To reach the United States' stated climate objective (a 50% reduction in net greenhouse gas emissions by 2030), an estimated 100GW of annual renewable additions will be needed. EnCap's Energy Transition companies are actively developing portfolios of wind and solar assets which will progress emissions-free generation to decarbonize our power grid.

Near-term Solar Pipeline

5,223
MW

Near-term Wind Pipeline

593
MW

Sold Solar Projects

160
MW

Data as of 12/31/21. Near-term pipeline defined as site control, interconnect request submitted, permit application process commenced, if applicable.

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Battery Storage Facilitates More Renewables

As renewables continue to displace baseload generation and grow as a component of the generation mix, more intermittency in the system is driving increased price volatility and grid instability. ETF's battery storage companies help balance electricity supply and demand and provide other critical ancillary services to the grid. These dynamics allow for greater overall renewable energy penetration while maintaining a reliable and cost-effective grid.

Energy Delivered

48,915
MWh

Projects in Operation

404
MWh

Under Construction

696
MWh

Near–term Pipeline

19,766
MWh

Data as of 12/31/2021. Near-term pipeline defined as site control, interconnect request submitted, permit application process commenced, if applicable.

Renewable Fuels

Low carbon fuels represent an actionable opportunity to decarbonize one of the largest sources of greenhouse gas emissions in the United States and internationally. While the use of electric vehicles is growing, the current trajectory of adoption is not enough to satisfy federal and state emissions reduction targets (see page 7 for a further discussion on this topic). Renewable fuels have an advantage in that they leverage established infrastructure (e.g. gas stations), serving as drop-in fuels in place of conventional gasoline. There are significant government incentives in place to support this market opportunity, including the LCFS (state) and RFS (federal) programs. EnCap expects additional state LCFS programs in the near future, which would bolster demand for renewable fuels.

Arbor Gas' Renewable Gasoline Plant Rendering

Arbor Gas uses woody biomass as feedstock to produce low carbon fuels. The company's first project will be located in Beaumont, Texas, with plans to be operational in 2024. The proposed plant is expected to produce 42,000 gallons of green gasoline per day, self-generate a portion of its electricity, and all of the CO2 produced will be captured and transported by pipeline to be permanently sequestered.

These attributes enable the company to produce gasoline which is expected to be 60% less carbon intensive than conventional gasoline.

ARBOR RENEWABLE GAS

Emissions in Oil & Gas Operations

Oil and gas operations produce emissions throughout the value chain, during extraction and transportation to the ultimate end-user. When drilling wells, diesel is typically consumed to power a drilling rig. Some of our sizeable companies have begun exploring ways to reduce combustion-related emissions by converting to natural gas rigs. During the next phase of development, wells are completed, and fuel is also used to power pumping equipment or move water and fluids around the well pad. Once a well is online, some emissions may be released as production moves through surface infrastructure and equipment. Produced methane, a gas, is prone to leakage, and eliminating this source has become a key focus within the industry as methane is known to trap significantly more heat in the atmosphere than carbon dioxide.

Nearly all of our companies report detailed information on their emissions sources to regulatory authorities. Depending on specific thresholds in operating regions, our companies report on emissions from combustion, flaring, venting, fugitive gas, and midstream processing. As owners of these operators, we endeavor to guide our companies to not only monitor their emissions footprint but also reduce them where commercially possible. Industry standards for measuring emissions levels continue to evolve, and we expect to provide more accurate and complete data over time.

Upstream Scope 1 Emissions	2021
Scope 1 Emissions (metric tons of CO_2e)[1]	1,428,137
Scope 1 Emissions Intensity (metric tons of CO_2e / Mboe)	11.9

[1]As reported to the EPA.

Best Practices at Our Upstream Companies

As our upstream business has shifted from delineating acreage positions to full scale development, our ability to impact emissions matters more than ever before. EnCap currently operates 35 rigs across the portfolio[1], making us the most active operator in the United States. We recognize that drilling and completions operations are resource-intensive activities, and we believe it is a best practice to minimize our impact. The benefits of reducing emissions are two-fold. Additional resource capture prevents unwanted emissions and increases sales volumes. Many of our companies have leading flaring practices (see following pages), have expanded the use of vapor recovery units (VRUs), or utilize other technologies to minimize their emissions footprint. Several teams continue to increase their monitoring capabilities, which will improve reporting accuracy and operational efficiency.

Examples of Innovative Technologies Used at Our Portfolio Companies

Drilling & Completions

- Separators to reduce or eliminate flaring during flowback
- Slickwater instead of nitrogen fracturing
- Gas driven drilling vs. diesel
- Tracking and monitoring of fuel usage
- Remote frac offset wells

Facility Design & Operations

- Establishing reliable pipeline takeaway before completing wells
- Vapor recovery units
- Weighted thief hatches
- Low-bleed or air-driven pneumatic devices
- Enclosed combustion systems

Monitoring

- Leak detection and repair
- Optical gas imaging cameras
- Aerial monitoring
- Continuous emissions monitoring
- Analytical tools to identify emissions and optimize equipment

[1] Data as of 6/30/2022.

Installing VRUs to Capture Emissions

Many of our upstream producers have incorporated vapor recovery units (VRUs) within their facilities to maximize sales volumes while minimizing emissions. During production, oil wells produce at a high pressure, and some forms of gas may be liquid in this environment. When liquids are extracted and reach the surface, the pressure drops and some liquids convert into gas which can escape. Operators with VRU equipment are able to capture this gas into tanks, which build in pressure until it is released to the VRU, where it is compressed and sent into a sales line.

Improving Existing Facilities

Novo's standard facility designs include VRUs at all future locations. At the end of 2021, approximately 60% of all its operated produced gas moved through facilities with this equipment. Each VRU has required an additional investment of ~$200,000. From April to October, the company estimates 90,000 mcf of gas was recovered which equates to an incremental ~$1.4 million in revenue from three units that were installed. When Novo took over operations of Scala Energy in May 2021, 0% of facilities had VRUs in place. The company is actively installing units and reached 85% in Q2 2022.

NOVO

Flaring Within Oil & Gas Production

The United States' shale boom has enabled our country to grow into the largest producer of oil and natural gas in the world. During this period of significant growth, upstream operators utilized hydraulic fracturing and horizontal drilling technology to extract vast amounts of high value oil and liquids which had associated natural gas production. Companies have historically flared the associated gas as sufficient pipeline infrastructure had not yet been built to handle rapidly growing domestic production. Flaring is the controlled burning of natural gas and has been a meaningful source of emissions and negative attention for the upstream industry. Flaring, as opposed to venting gas, is safer (controlled) and results in less harmful emissions (burning methane into carbon dioxide as opposed to releasing methane). Over the last decade, EnCap Flatrock Midstream portfolio companies have been instrumental in the development of pipeline infrastructure to move hydrocarbons from producing areas to end markets while simultaneously reducing the need for upstream flaring activities.

Our Upstream Companies' Flaring Practices

EnCap's management teams are focused on reducing the use of flaring, and a number of our companies have eliminated routine flaring. This means that flaring only occurs when there is an unexpected infrastructure outage. Many of our operators actively design their facilities with flaring considerations in mind and work directly with midstream providers to connect well sites prior to commencing production. While our companies endeavor to prevent flaring, there are still instances in which emergency flaring of excess gases to prevent pressure buildup is necessary in order to maintain worker safety and equipment integrity.

Flaring	2021
Flared Hydrocarbons (MMcf of natural gas)	3,697
Flaring Intensity (Mmcf gas flared / Mboe)	0.03

Sources: Energy in Depth, Department of Energy's Office of Fossil Fuel and Carbon Management, EIA.

Proactive Planning to Prevent Flaring

Portfolio Companies that have Eliminated Routine Flaring

AMEREDEV | PIEDRA COMPANIES | Forge energy II | PENNENERGY RESOURCES | XCL RESOURCES

Building Resiliency with Infrastructure Partners

Piedra proactively plans its operations to eliminate routine flaring. The company coordinates closely with its midstream providers to time completions and flowback so there is adequate takeaway capacity before production comes online. During 2021, the company's midstream provider encountered line issues and required Piedra to flare on an emergency basis. In response, Piedra re-negotiated all of its gas purchase agreements and dedicated some acreage to a second gas purchaser. Investing in dual connections will further minimize the need for Piedra to emergency flare.

Exceeding Regulatory Standards

Unlike the Permian Basin where there has been decades of extensive oil and gas development, the Bakken formation has required more gathering and transportation infrastructure to handle growing gas production volumes. This results in higher flaring rates in the region than other legacy basins. In an effort to put natural gas resources to productive use, the North Dakota Industrial Commission set targets, with a stringent goal of 91% gas capture. We are proud that Grayson Mill has improved its gas capture rates since purchasing the asset from Equinor, and has been in line with or better than the regulatory requirement.

Eliminating Flaring through Facilities Design

In the Appalachian Basin, natural gas is the main targeted product. As a result, PennEnergy seeks to recover every molecule, both from a financial and an environmental standpoint. During flowback operations, the company uses green completion practices whereby all natural gas is captured and routed into a gathering line as soon as it reaches recoverable quantities and pressure. Best practices to prevent venting (and thereby emissions) at PennEnergy include ensuring all permanent production equipment is installed and ready for operation prior to flowback in addition to using temporary separators.

Emissions Monitoring & Detection

In order to minimize emissions in our upstream operations, we support portfolio companies in implementing monitoring programs. Regulatory requirements and technical feasibility vary across regions, and as a result, our management teams employ a wide range of emissions monitoring tools. These can include: optical gas imaging (OGI) cameras, aerial monitoring, additional metering, LiDAR, and olfactory visual auditory (OVA) scanning. Our companies leverage a broad suite of technologies to identify emissions or leaks and develop appropriate response plans (design, repair, or remediation).

Optical gas imaging (OGI) cameras use thermal imaging to detect fugitive emissions

Identifying and Reducing Emissions

EnCap invested in Encino Environmental Services, a company focused on the growing demand for the measurement of greenhouse gas emissions. The Williams Companies (NYSE: WMB), one of the largest midstream operators in North America, has also joined both as investor and strategic customer.

Encino's core business is emissions testing, with the primary growth area in continuous emissions monitoring, which uses on-site cameras to monitor for any gas releases. Most recently, Encino entered into a joint venture with Satlantis to expand its product offering to include satellite technology. We believe the company can ultimately offer a full suite of services to the oil and gas industry to address emissions-related challenges, reduce emissions, drive improved accuracy in reporting, and potentially support premium commodity pricing.

ENCINO ENVIRONMENTAL SERVICES

Water Management

EnCap recognizes that water is a precious resource that is shared by industry, agriculture, local communities, and wildlife. We encourage portfolio companies to use non-potable sources and reduce reliance on freshwater wherever feasible. We also promote water recycling efforts to reduce our companies' operational impact.

Water is predominately a consideration for our Upstream portfolio, as their operations require significant quantities to effectively stimulate wellbores. For our Energy Transition companies, water use is generally limited to cleaning and dust control needs for solar panels and feeding livestock associated with vegetation control. Wind assets and battery storage sites typically do not consume water.

Upstream Water Practices

During the development phase, hydraulic fracturing requires large volumes of water to help stimulate the underground wells and extract the hydrocarbon resource. Water is also a byproduct throughout the production lifecycle. Our companies are focused on the goal of providing safe and environmentally sound handling, transportation, storage, and disposal of all water that is used in their operations.

Water is customarily sourced from groundwater, surface water, municipal water systems, or produced water, depending on regional infrastructure, geology, and regulations. Recycling water has become a key focus in many of our companies as it minimizes water use. These efforts typically also provide an economic benefit by decreasing purchase, transportation, and disposal costs. As a result, many of our sizeable companies have made meaningful investments in developing their own water infrastructure systems.

Water Management	2021
Total Water Consumed (MBbls)	110,894
Freshwater Usage (% of Water Used)	64%
Recycled Water (% of Produced & Flowback Water)	17%

Freshwater Reduction Initiatives

Investing in Recycling Infrastructure

XCL is investing $32 million in its water infrastructure, which will include dedicated pipelines, ponds, recycling, and saltwater disposal facilities. The company is currently constructing a 1MMbbl water facility to transport water from producing wells to a pond and will re-use the water in completions operations. This project is expected to allow XCL to recycle 90%+ of its produced water, eliminate 70,000+ disruptive and greenhouse gas emitting truckloads of water hauling per year, and reduce water sourcing needs by as much as 10MMbbl annually. There is also a direct cost benefit of ~$100,000 per well (decreases operating costs by ~$1.50/Bbl). XCL has plans to build additional water infrastructure to support future production growth.

Building a Water Infrastructure System

Enduring Resources has invested over $15 million in developing its water infrastructure system. Their facility is comprised of non-potable water wells, recycle and treatment facilities, storage facilities, a pipeline system, and disposal wells. To date, Enduring has reduced reliance on freshwater to <3% of total water usage, freeing up this critical resource for other end users. Additionally, water is transferred via pipeline between storage facilities and drilling sites, which has the additional environmental benefit of removing truck traffic and associated emissions.

Biodiversity Impact

Our portfolio companies evaluate biodiversity considerations before development or construction begins as part of their overall project planning and permitting efforts. At a minimum, all companies must work to ensure their projects abide by relevant laws on the lands where they operate. Depending on the area of operation, regulations may require specific studies or assessments to determine the impact on native ecosystems and species. As a result, some of our companies' activities may be limited during mating or migration seasons in order to protect local wildlife and habitats.

In addition, our upstream companies typically conduct environmental reviews as part of their acquisition diligence to understand historical spills at existing well sites. We believe a best practice to prevent spills is to have plans and procedures in place with appropriate training so that field employees are aware of immediate actions to respond to emergencies. During 2021, the number, volume, and intensity of hydrocarbon spills across our upstream portfolio were as follows:

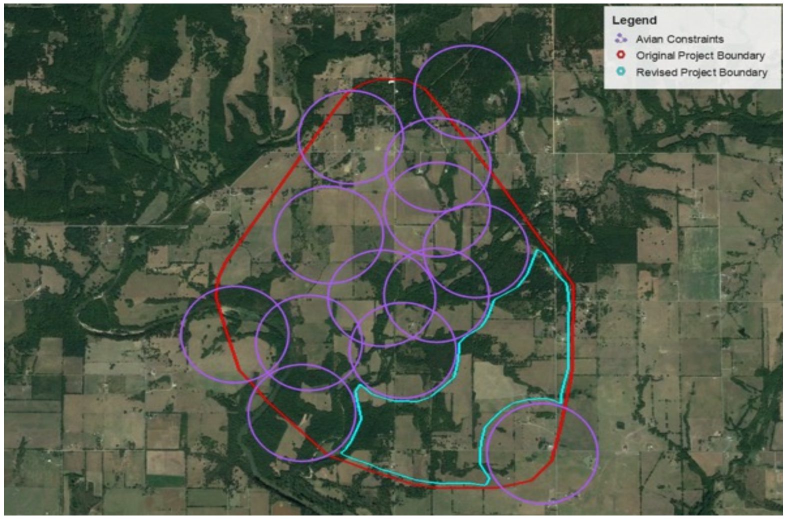
Hydrocarbon Spills	2021
Number of Hydrocarbon Spills	66
Volume of Hydrocarbon Spills (Bbls)	2,781
Spill Intensity (BBls spilled / Mboe produced)	0.02

Planning Projects to Protect Native Habitats and Species

Asset Siting Around Eagle Nests

TRIPLE OAK

Triple Oak Power is a developer of wind energy projects. From the earliest stages of development, the company works to proactively identify and manage asset siting considerations. Each of the purple circles on the map below represent a 2-mile radius around an active eagle nest. These avian nests were identified as a result of detailed biological studies conducted by and paid for by Triple Oak. In conjunction with the U.S. Fish and Wildlife Service, the project boundary was revised from the original project boundary (red outline) to the revised project boundary (teal outline) in order to minimize impacts on the eagle nests.



Avoidance is the Preferred Approach

Enduring follows a hierarchy of standards for habitat and species protection that prioritizes avoidance and minimization. When projects pose a potential risk to wildlife or their habitats, the preferred approach is avoidance. Avoidance encompasses extensive planning focusing on specific habitat types as well as areas buffered around protected or significant resources.

When complete avoidance is unavoidable, minimization is utilized to moderate the scope and severity of impacts. Minimization efforts range in level and significance and include actions such as seasonal restrictions on types of operations or access, timing limitations for hours of operation outside of significantly impactful hours, and monitoring species' behaviors to halt work if individual disturbances are observed, amongst others.

Social Impact

Our strongest assets are our people and relationships. At EnCap, we take pride in attracting and retaining talented employees, providing them an environment to grow and succeed. We also value our relationships within the communities in which we live and work and encourage our people to give back to the organizations they care about. At the heart of what we do is partner with management teams who have proven track records and are leaders within their fields – we are grateful to repeatedly back several teams who have demonstrated the ability to create value for our investors. These individuals typically have corporate and operational backgrounds, bringing forward best practices regarding health and safety to protect our workforce.

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Our People

We value our employees' development, and we seek opportunities to keep them engaged and mature professionally. We hire people who we believe have the capability and drive to develop new skills, broaden relationships across our organization, and benefit performance for our investors. To support our employees in their career progression, we sponsor their attendance at industry conferences where they advance their skills, knowledge, and networks.

We also sponsor continuing education and certification renewals for our employees. In addition, we are proud to offer a range of top-of-the-line benefits, which include a company-matched retirement savings program, health savings account funding, fitness program, charitable donation matching, flexible spending accounts, flexible work arrangements, and parental leave to care for a newborn child or placement of child for adoption or foster care for up to 16 work weeks.

Diversity & Inclusion

We value diversity in background, skills and experiences, which is inclusive of age, gender, race, and ethnicity. We believe that differing perspectives allow for innovative ideas, and we endeavor to create an environment in which diverse viewpoints can flourish. At EnCap, we are proud to have low turnover among our employee base; however, we acknowledge this limits our ability to impact overall organizational statistics.

We are committed to considering a broader, more diverse candidate field, with the goal of attracting the most talented employees, and will continue to support philanthropic organizations that promote diversity and inclusion. In addition, we are dedicated to providing equal opportunity in all of our hiring and compensation practices, and it is against our policy to discriminate based on age, gender, nationality, disability, religion, or sexual orientation. As part of our overall diversity and transparency efforts, we provide certain related metrics to report on our progress.

Recognizing the importance of diversity in our employee base, we made it a strategic priority when forming our Energy Transition platform in 2019. Expanding our footprint into the broader renewables and power industries has allowed us to attract more diverse talent. Currently, our ETF investment staff is 25% gender diverse. As ETF grows its team, it is committed to using recruitment efforts that will increase the diversity of its talent pool.

Gender Representation

	Women	Men
Executive Management	16%	84%
Non-Executive Management	0%	100%
Professionals	33%	67%
Other	79%	21%
All Employees	33%	67%

Racial/Ethnic Group Representation

	Asian	Black	Hispanic	White
Executive Management	11%	0%	0%	89%
Non-Executive Management	0%	0%	0%	100%
Professionals	6%	6%	0%	89%
Other	14%	0%	29%	57%
All Employees	8%	2%	7%	84%

EnCap Employees by the Numbers

Overall Employee Retention	Average Employee Tenure	Investment Staff Turnover[1]
90%	10 years	4%

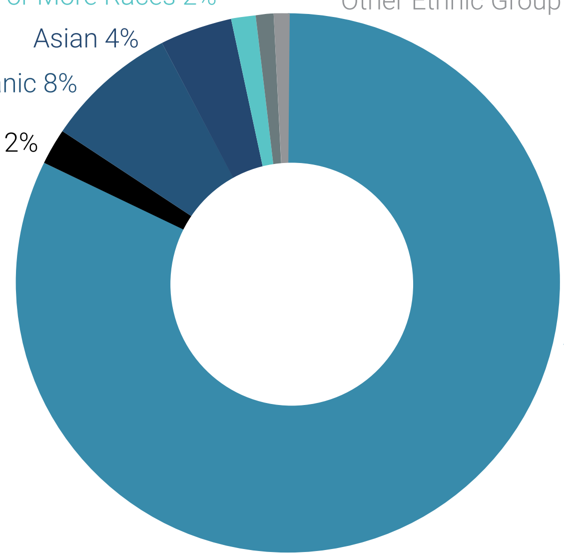
Promotions	New Employees	Upstream Investment Staff Tenure
6	7 of which 43% are gender diverse or ethnically diverse	15 years

Note: Data as of 12/31/21. Employee data excludes interns. [1]Includes investment staff and technical team. Excludes analysts and associates, who typically do a 2-3 year program with EnCap.

Diversity at Our Portfolio Companies

We take a similar approach in forming our management teams, considering diversity alongside professionals' proven track records and operational backgrounds. The oil and gas industry in particular continues to face challenges in gender diversity due to a more limited candidate pool in remote field operations. Within our Energy Transition business, portfolio companies are more than 25% diverse.

Racial / Ethnic Representation



People Employed	Gender Diverse Representation	Employees with Equity Ownership	Women with Equity Ownership
1,120+	23%	470+	100+

Data as of 12/31/2021. Note: Includes information on our mineral and non-operating companies. Statistics on contractors and equity ownership were included, where available.

Health & Safety

It is of paramount importance that our portfolio companies operate within a culture of safety as oilfield or construction projects inherently require riskier activities. To promote this, we look to back management teams who have proven track records and backgrounds of incorporating operational excellence into their business decisions. During our investment process, we also discuss potential contractors our companies choose to partner with to assess whether these third parties prioritize health and safety within their operations. All of our companies strive to maintain strong standards, and many conduct ongoing technical and specialty trainings, which are dependent on the nature of each business' operations, size, complexity, and risk.

Select best practices across our upstream portfolio:

- Conduct in-person meetings on safety topics
- Provide computer-based training modules
- Establish Health, Safety, and Environmental ("HSE") policies or standards
- Utilize third-party safety questionnaires with contractors
- Conduct safety drills tailored to specific departments
- Promote safety culture formally and informally
- Report incidents and near-miss events
- Employ stop work authority for anyone on a job site
- Develop emergency response and evacuation plans
- Support zero-incident rate goal with continuous improvement and exploring causes of incidents
- Audit of training records, onsite procedures, and physical features

Upstream Health & Safety Incidents	2021
Total Recordable Incidents	22
Total Lost Time Incidents	5
Number of Fatalities	0

Addressing Supplier Expectations

Focusing on Sustainable Procurement

Sustainable procurement has become a major focus for our Energy Transition companies as the majority of renewables-related manufacturing occurs internationally. At the appropriate time in their development, ETF requires its companies to put in place sustainable procurement policies in their major equipment purchase agreements. Specific business terms vary across companies, but generally, our teams' policies cover the sourcing of production materials from conflict-free areas, reducing waste, and paying employees living wages.

Rigorously Evaluating Suppliers

Catalyze has a Vendor Code of Conduct and Sustainable Procurement Policy that all of its suppliers, vendors, and subcontractors are expected to comply with. For key suppliers, the company requires an even more rigorous set of standards, aligned with the U.N. Guiding Principles on Business and Human Rights, the Solar Industry Commitment to Environmental and Social Responsibility, and the Responsible Business Alliance Code of Conduct.

When partnering with a supplier, Catalyze uses a vendor qualification questionnaire to assess compliance with the company's policies. The questionnaire covers financial viability, human and labor rights, and other environmental and social impacts. In 2022, Catalyze plans to partner with EcoVadis to better assess its suppliers and collect relevant emissions data.

CATALYZE

Serving Our Communities

Giving Back Has Always Been Core to EnCap's Culture

We actively encourage employees and portfolio companies to engage in philanthropic efforts they care deeply about. At the same time, we are respectful of each individual's decision to be involved in community work, and thus much of our employees' volunteering and financial contributions take place outside of EnCap. This approach has allowed our people to organically pursue causes they are passionate about and become involved in many ways, including serving as a board member or other leadership role, volunteering, or other giving. Our individual employee community work adds a meaningful amount over and above what we do as an organization at the EnCap level. Below is an abbreviated list of the many organizations our employees are actively involved in. Beyond these, many employees also give their time and talents to their local churches and schools, serving as mentors, coaches, or fundraisers.

Employee Involvement

Education

Health

Community Resources

EnCap Cares

EnCap Cares is our corporate philanthropic program which encompasses volunteer time and financial support to enrich our communities. To provide for the organizations our employees care about, we offer a dollar-for-dollar matching program for employees below certain salary thresholds. Since our program's inception in 2015, we have matched more than $2 million in employee contributions and supported over 200 organizations. Some of these charities include:

- Alzheimer's Association
- American Heart Association
- Autism Action Partnership
- Behind Every Door
- Brother Bill's Helping Hand
- Family Legacy
- Houston Food Bank
- International Justice Mission
- Leukemia & Lymphoma Society
- Living Water International
- Love Justice International
- Small Steps Nurturing Center
- Still Water
- The Human Trafficking Institute
- Young Life
- 9 Marks Ministries

Hurricane Harvey Disaster Relief

Hurricane Harvey, a Category 4 hurricane, slammed into the Gulf Coast area in August 2017, devastating Houston and many other Gulf Coast communities. Many of our employees assisted in immediate search and rescue efforts and the cleanup and rebuilding initiatives that followed. Shortly after the storm, EnCap's leadership pledged $5 million, which was distributed across several organizations to help with relief efforts in our city and surrounding areas.

> "I'm proud to be part of a firm that encourages employee initiative. A group of us presented the idea of forming a Charitable Action Committee to our Partners, and we received immediate and enthusiastic support. While this is just a small portion of how the people at EnCap give back, each and every project we do has a meaningful impact to the Houston community."
>
> – Cole Sanches,
> Charitable Action Committee Member

EnCap Engage

In 2019, our employees formed EnCap's Charitable Action Committee, made up of individuals from different departments who work to plan service events for a more hands-on impact in our community. This provides an additional opportunity for us to support the organizations our employees care deeply about. The Committee selects an organization and project where our employees spend a day volunteering together. To date, we have supported six charities and donated more than $80,000.

Helping a Local Veteran Family with Home Disaster Repair

Rebuilding Together Houston is an organization serving low-income, elderly, disabled, and veteran homeowners with critical home repairs, accessibility modifications, and energy-efficient upgrades. Their work adds 10-20 years to the life of a home, making it safe, liveable, and more resilient against disasters.

In November 2021, we worked with the organization to assist a local resident in the Sunnyside neighborhood of Southeast Houston whose home was damaged significantly from Hurricane Harvey. EnCap employees spent a day making repairs and painting her home. In addition, EnCap donated $15,000 to Rebuilding Houston to further assist in its annual budget and mission.

Philanthropy at Our Portfolio Companies

Many of our portfolio companies choose to be actively involved in their communities whether through their organization or outside of work. We are supportive of company-wide activities as we believe it contributes to enhanced team-building as well as benefiting the communities that our teams live and work in. There is no prescribed approach, but some have implemented these practices to support their employees and the non-profits they care deeply about:

- Serving as board members for community organizations
- Matching employee contributions or giving financially
- Company-wide volunteer events with paid time off
- Establishing community service committees

2021 Highlights

Below is a subset of the philanthropic efforts at our companies during the year:

GRAYSON MILL ENERGY	• Has an employee-led Social Committee, which selects several organizations to give to each year • In 2021, supported / volunteered at Smalls Steps Nurturing Center, Fair Haven Food Pantry, Houston Rodeo, and CandleLighters Family
Fe2 Forge energy II	• Works with Endeavors, which serves vulnerable families • Each fall, Forge sponsors a family and hosts a dinner to meet the family and give Christmas gifts
PIEDRA COMPANIES	• Supports a large number of organizations, many based in Midland • Sponsors a donation matching program up to $1,000 per organization; since 2019, $15,600 of donations have been matched
BROAD REACH POWER	• Formed Event Committee in September to promote employee engagement and community involvement • Supported Combined Arms' annual toy drive
Jupiter POWER	• Held its first annual day of giving in 2021 • Employees volunteered at Central Texas Food Bank and the Greater Chicago Food Depository

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